

UNAUDITED INTERIM FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2016



ORIENT FINANCE PLC

ORIENT FINANCE PLC
INCOME STATEMENT

<i>For the</i>	Three Months Ended			Year Ended		
	31-Mar-16 Rs.	31-Mar-15 Rs.	Variance %	31-Mar-16 Rs. Unaudited	31-Mar-15 Rs. Audited	Variance %
Income	771,214,463	137,294,542	462	2,362,921,578	1,362,664,433	73
Interest Income	701,415,995	288,738,523	143	2,146,930,736	1,283,086,649	67
Interest Expense	(344,920,164)	(149,858,853)	130	(1,096,452,702)	(805,279,228)	36
Net Interest Income	356,495,831	138,879,670	157	1,050,478,034	477,807,421	120
Fee and Commission Income	18,519,391	2,365,056	683	78,219,734	15,502,142	405
Other Income	51,279,077	11,190,962	358	137,771,108	64,075,642	115
Operating Income	426,294,299	152,435,688	180	1,266,468,876	557,385,205	127
Provision for Impairment	(104,427,276)	(110,429,013)	-5	(328,996,613)	(188,291,956)	75
Net Operating Income	321,867,023	42,006,675	666	937,472,263	369,093,249	154
Operating Expenses						
Personnel Expenses	(109,486,613)	(21,128,358)	418	(339,120,138)	(134,102,111)	153
Premises, Equipment & Establishment Expenses	(61,462,243)	(5,046,157)	1,118	(84,391,542)	(24,494,931)	245
Other Overhead Expenses	(37,758,985)	(51,416,764)	-27	(219,913,324)	(206,314,392)	7
Operating Profit Before Value Added Tax & NBT	113,159,182	(35,584,604)	418	294,047,259	4,181,815	6,932
Value Added Tax on Financial Services, NBT	(1,642,102)	-	100	(1,642,102)	-	100
Profit Before Income Tax	111,517,080	(35,584,604)	413	292,405,157	4,181,815	6,892
Income Tax Expense	(137,279)	-	-	281,860,000	-	100
Profit for the Year	111,379,801	(35,584,604)	413	574,265,157	4,181,815	13,632
Basic Earnings Per Share (Rs.)	0.75	(0.24)		3.9	0.03	
Diluted Earnings Per Share (Rs.)				3.9	0.03	

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

<i>For the</i>	Three Months Ended		Year Ended	
	31-Mar-16 Rs.	31-Mar-15 Rs.	31-Mar-16 Rs. Unaudited	31-Mar-15 Rs. Audited
Profit for the Year	111,379,801	(35,584,604)	574,265,157	4,181,815
Other Comprehensive Income				
Available for Sale Financial Assets - Net Change in Fair Value	(73,294)	-	(331,873)	-
AFS Financial Assets Reclassified to Profit or Loss	-	-		-
Actuarial Gain / (Loss) on Retirement Benefit Plan	-	-	(117,937)	-
Deferred Tax on OCI	-	-	-	-
Other Comprehensive Income for the year Net of Tax	(73,294)	-	(449,810)	-
Total Comprehensive Income for the Year Net of Tax	111,306,507	(35,584,604)	573,815,347	4,181,815

Figures in brackets indicate deductions.

ORIENT FINANCE PLC**STATEMENT OF FINANCIAL POSITION**

As At	31-Mar-16	31-Mar-15
	Rs.	Rs.
	Unaudited	Audited
ASSETS		
Cash and Cash Equivalent	231,677,698	194,035,452
Available for Sale Financial Assets	748,424,970	-
Loans and Receivables from Customers	13,745,097,709	4,933,959,608
Investment Securities	417,627,940	726,199,833
Trade and Other Receivable	406,743,478	118,592,463
Real Estate Receivable	46,407,850	47,227,436
Amount due From Related Parties	-	265,825,725
Deferred Tax Asset	275,353,029	-
Brand Value	235,880,000	-
Goodwill	564,545,746	-
Intangible Assets	517,658	-
Property, Plant and Equipment	438,736,121	446,863,819
Total Assets	17,111,012,199	6,732,704,336
LIABILITIES		
Bank Overdrafts	433,373,124	86,619,893
Deposits from Customers	9,249,312,393	5,580,072,379
Interest Bearing Borrowings	3,262,737,550	31,760,395
Term Debt	1,227,350,180	204,000,000
Current Tax Payable	2,136,340	-
Deferred Tax Liability	-	50,300,826
Trade and Other Payable	680,798,437	165,069,120
Non Interest Bearing Security Deposits	1,853,271	-
Retirement Benefit Obligations	41,809,713	44,882,599
Total Liabilities	14,899,371,008	6,162,705,212
EQUITY		
Stated Capital	1,378,689,779	306,024,990
Reserve Fund	285,869,643	171,016,612
Available for sale Fair Value Reserve	(331,873)	(3,374,004)
Revaluation Reserve	116,471,908	116,471,908
Retained Earnings	430,941,734	(20,140,382)
Total Equity	2,211,641,191	569,999,124
Total Equity and Liabilities	17,111,012,199	6,732,704,336
Net Assets Per Share	14.94	3.85

Figures in brackets indicate deductions.

The Financial Statements are in compliance with the requirements of the Companies Act No



 Asela Wijayabandara
 Asst. General Manager - Finance



 Patrick Ranasinghe
 Acting Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Approved and signed for and on behalf of the Board;



 Dr. Dayanath Jayasuriya
 Chairman
 30-May-16



 Prakash Schaffter
 Director

ORIENT FINANCE PLC

STATEMENT OF CHANGES IN EQUITY

For The Year Ended 31 March 2016,

	Stated Capital Rs.	Reserve Fund Rs.	Investment Fund Rs.	Revaluation Reserve Rs.	Available for Sale Fair Value Reserve Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 01 April 2014	306,024,990	170,180,249	1,868,462	148,094,569	(7,778,079)	(56,976,957)	561,413,234
Profit for the year	-	-	-	-	-	4,181,815	4,181,815
Other Comprehensive Income Net of Taxes	-	-	-	-	4,404,075	-	4,404,075
Transfer to Statutory Reserve Fund	-	836,363	-	-	-	(836,363)	-
Transfer to Retained Earnings	-	-	(1,868,462)	(31,622,661)	-	33,491,123	-
Transactions with Equity Holders	-	-	-	-	-	-	-
Dividend Paid	-	-	-	-	-	-	-
Balance as at 31 March 2015	<u>306,024,990</u>	<u>171,016,612</u>	<u>-</u>	<u>116,471,908</u>	<u>(3,374,004)</u>	<u>(20,140,382)</u>	<u>569,999,124</u>
Profit for the year	-	-	-	-	-	574,265,157	574,265,157
Shares Issued	1,072,664,789	-	-	-	-	-	1,072,664,789
Equity trasaction cost relating to IPO	-	-	-	-	-	(4,838,069)	(4,838,069)
Write Off of Available for Sale Financial Assets	-	-	-	-	3,374,004	(3,374,004)	-
Other Comprehensive Income Net of Taxes	-	-	-	-	(331,873)	(117,937)	(449,810)
Transfer to Statutory Reserve Fund	-	114,853,031	-	-	-	(114,853,031)	-
Balance as at 31 March 2016	<u>1,378,689,779</u>	<u>285,869,643</u>	<u>-</u>	<u>116,471,908</u>	<u>(331,873)</u>	<u>430,941,734</u>	<u>2,211,641,191</u>

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
CASH FLOW STATEMENT

For the year ended

	31-Mar-16 Rs.	31-Mar-15 Rs.
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit Before Income Tax Expense	292,405,157	4,181,815
Adjustment for;		
Depreciation / Amortization	41,927,462	24,494,931
Profit on disposal of Property Plant & Equipment	(36,700,876)	(17,918,189)
Impairment Charge/(Write Back)	328,996,613	188,291,956
Finance Expenses	1,096,452,702	805,279,228
Investment Income	(89,351,860)	(22,665,171)
Provision for Gratuity	7,251,744	12,000,000
Operating Profit before Working Capital Changes	1,640,980,942	993,664,570
Change in Loans and Receivables from Customers	(1,719,842,183)	870,158,816
Change in Trade & Other Receivables	(102,312,022)	(13,825,719)
Change in Related Party Receivable	265,825,725	(265,825,725)
Change in Deposits from Customers	289,728,083	(883,887,864)
Change in Trade & Other Payables	(335,927,885)	(28,661)
Change in Non Interest Bearing Security Margins	(732,879)	0
Change in Real Estate Receivable	819,586	31,071,824
	38,539,367	731,327,241
Interest Paid	(1,212,084,952)	(721,265,109)
Income Tax / Economic Service Charges Paid	-	(2,722,233)
Gratuity Paid	(23,393,426)	(3,738,414)
Net Cash Used in Operating Activities	(1,196,939,011)	3,601,485
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of Property, Plant and Equipment	(16,248,351)	(2,182,431)
Acquisition of Intangible Assets	-	-
Proceeds from Sale of Property Plant & Equipment	54,951,088	81,874,400
Net Change in Available for Sale Financial Assets	(526,503,568)	132,500,000
Net change in Investment Securities	563,890,855	13,566,127
Investment Income Received	71,024,926	81,040,504
Payments made to former Orient Shareholders	(1,730,741,430)	-
Net Cash Generated from Investing Activities	(1,583,626,480)	306,798,600
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest Bearing Borrowings Obtained	5,839,204,525	(31,323,375)
Interest Bearing Borrowings Repayments	(4,440,414,808)	(371,174,834)
Proceeds from Shares Issue	1,072,664,789	-
Dividend Paid	-	0
Net Cash Generated from Financing Activities	2,471,454,506	(402,498,209)
Net Change in Cash and Cash Equivalents	(309,110,985)	(92,098,124)
Cash and Cash Equivalents at Beginning of the Year	107,415,559	199,513,683
Cash and Cash Equivalents at End of the Year (Note A)	(201,695,426)	107,415,559
Note - A		
Analysis of Cash and Cash Equivalents		
Cash in Hand	165,733,450	19,275,988
Cash at Bank	65,944,248	174,759,464
Bank Overdrafts - Secured	(433,373,124)	(86,619,893)
	(201,695,426)	107,415,559

Figures in brackets indicate deductions.

Explanatory Notes

1. These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from 01st January 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31st March 2015. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.

2. There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements except the following.
 - 2.1 As per the Central Bank guidelines on Investment Tax Relief on Financial Sector Consolidation, a Deferred Tax gain of Rs. 282 Mn on the purchase consideration paid to owners of former Orient Finance PLC has been recognised to the comprehensive income, to the extent of future profit estimates.
 - 2.2 There is no income tax liability since qualifying payment on acquisition of Assets and Liabilities of former Orient Finance PLC can be deducted from the assessable income.
 - 2.3 Pursuant to the Shareholder approval at the Extraordinary General Meeting held on 25th June 2015, the Assets and Liabilities of Orient Finance PLC (OFP) were amalgamated with Bartleet Finance PLC (BFP) in terms of part VIII of section 239 of Companies act No. 07 of 2007.

Further, BFP is the surviving entity upon the completion of the amalgamation and continues its activities as a single legal entity which is a licensed finance Company. The amalgamation is effective from 16th July 2015, the date approved by the Registrar of Companies.

Subsequently on 14th August 2015, the Company was named as Orient Finance PLC.
 - 2.4 Out of the total Goodwill on the acquisition of Orient Finance PLC, Rs.236 Mn has been attributed as Brand Value of former Orient Finance PLC based on the Independent Professional Valuation and the balance Rs.565Mn has been recognized as Goodwill in the Balance Sheet.
 - 2.5 The Company issued 71,500,000 Ordinary Shares at Rs.15 each via an Initial Public Offering and raised Rs.1,072,500,000. With this IPO, total of 148,018,370 shares of the Company were listed on the Diri Savi Board of the CSE on 18th February 2016.

3. All known expenses have been provided for in these Financial Statements.

4. There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2015.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital	31st March 2016	31st March 2015
Value of Ordinary Shares (Rs.)	1,378,689,780	306,024,990
No. of Ordinary Shares	148,018,370	7,650,624

Share Price During the Period

		For the Quarter Ended	
		31-Mar-16	31-Mar-15
Highest	(Rs)	22.90	
Lowest	(Rs)	12.50	N/A
Closing	(Rs)	13.00	

Shareholders as at 31st March 2016

	Name	No. of Shares	%
1	Janashakthi PLC	132,940,720	89.81
2	B G Investments (Pvt) Ltd	5,323,200	3.60
3	Dunamis Capital PLC	3,333,300	2.25
4	First Capital PLC	3,333,300	2.25
5	Rosewood (Pvt) Ltd	666,700	0.45
6	Asset Trust Management (Pvt) Ltd	333,300	0.23
7	Ceylinco General Insurance Ltd	333,300	0.23
8	Commercial Credit And Finance PLC	330,000	0.22
9	Mr. Kosgallana Durage Ananda Weerasighe	133,400	0.09
10	Mr. Nilan Asela Saipath Wickramasinghe	100,000	0.07
11	Mr. Lasantha Chandika Ranaweera Pathirana	99,500	0.07
12	Mr. Maligaspe Koralege Kasun Chathuranga Maligaspe	67,000	0.05
13	Capital Trust Holding Ltd	67,000	0.05
14	Mr. Asiri Dayan Merenchige	67,000	0.05
15	Mr. Kapila Dharmapriya Ariyaratne Hettiarachchi	66,700	0.05
16	Mr. Wijayasinhage Ruchika Amarasekara	66,700	0.05
17	Mr. Kosgallana Durage Sineth Gajaba Weerasinghe	66,700	0.05
18	Mr. Peter Devaan Marlon Cooray	60,000	0.04
19	J.B. Cocoshell (Pvt) Ltd	52,996	0.04
20	Dr. Srinath Daminda Rajamantri	50,000	0.03
	Others	527,554	0.36
	Total	148,018,370	100.00

Directors' Shareholding as at 31st March 2016

	Name of the Director	No. of Shares	%
1.	Dr. D.C. Jayasuriya PC - Chairman	-	-
2.	Mr. Prakash Schaffter	10	-
3.	Mr. Ramesh Schaffter	10	-
4.	Mrs. Lakshmi K. Gunatilake	-	-
5.	Mr. D. Sarath P. Wikramanayake	-	-
6.	Mr. Ananda W. Atukorala	-	-
7.	Mr. K. M. A. T. B. Tittawella	-	-
8.	Mr. A. I. Fernando	-	-
9.	Ms. Minette D. A. Perera	-	-
	Total	20	-

CEO's Shareholding as at 31 March 2016

Mr. Suresh M. Ameresekera	-	-
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Public Holding as at 31st March 2016	15,071,610	10.18
Number of Public Shareholders	292	N/A

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Listed Debenture Information**

Debenture	31-Mar-16	31-Mar-15
	Rs	Rs
Debentures Issued in 2011 (Deb. 01)	204,000,000	204,000,000
Debentures Issued in 2014 (Deb. 02)	1,000,000,000	-
	<u>1,204,000,000</u>	<u>204,000,000</u>

	31-Mar-16	31-Mar-15
Debenture 01		
Market Prices - Debenture		
Highest price		100.00
Lowest price	Not Traded during	83.78
Last traded price	the Quarter	83.78

Debenture 02		
Market Prices - Debenture		
Highest price		
Lowest price	Not Traded as at 31	
Last traded price	March 2016	

Debt to Equity Ratio (Times)	6.41	10.51
Interest Coverage Ratio (Times)	1.27	1.01
Liquid Asset Ratio	20.44%	16.00%
Interest Rate of Comparable Government Securities	7.33%	8.93%
Interest Yield as at Date of Last Trade (28/09/2015)	13.86%	12.88%
Yield to maturity of trade done on (28/09/2015)	21.92%	12.37%

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS
FIANANCIAL REPORTING BY SEGMENTS
Business Segments

The Company has two reportable segments, as described below, which are the Company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the Company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the Company's reportable segments.

Hire Purchase & Leasing -	Provision of Hire Purchase and Leasing Facilities to customers
Factoring -	Debt Factoring

	Lease & Hire purchase		Factoring		Unallocated		Total	
	31-Mar-16	31-Mar-15	31-Mar-16	31-Mar-15	31-Mar-16	31-Mar-15	31-Mar-16	31-Mar-15
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	2,036,981,870	1,186,780,099	109,033,085	-	915,781	96,306,550	2,146,930,736	1,283,086,649
Fee and Commision Income	50,152,203	15,502,142	28,067,531	-	-	-	78,219,734	15,502,142
Other Income	7,100,574	0	-	-	130,670,534	64,075,642	137,771,108	64,075,642
Total Segmental Income	2,094,234,647	1,202,282,241	137,100,616	-	131,586,315	160,382,192	2,362,921,578	1,362,664,433
Less: Interest expense	(1,001,466,538)	(648,018,718)	(94,440,515)	-	(545,649)	(157,260,510)	(1,096,452,702)	(805,279,228)
Segmental Results	1,092,768,109	554,263,523	42,660,101	-	131,040,666	3,121,682	1,266,468,876	557,385,205
Depreciation and Amortization	(31,266,920)	(19,711,390)	(299,674)	-	(10,360,868)	(4,783,540)	(41,927,462)	(24,494,930)
Impairment Charge / (Reversal)	(311,112,713)	(184,398,077)	(17,694,767)	-	(189,133)	(3,893,879)	(328,996,613)	(188,291,956)
Unallocated Company expenses	(350,220,716)	(273,937,609)	(2,186,776)	-	(250,732,152)	(66,478,895)	(603,139,644)	(340,416,504)
Income Tax	-	-	-	-	281,860,000	-	281,860,000	-
Profit After Tax	400,167,760	76,216,447	22,478,884	-	151,618,513	(72,034,632)	574,265,157	4,181,815
Segmental Assets	12,554,354,048	3,890,974,645	1,183,903,425	-	3,372,754,726	2,841,729,691	17,111,012,199	6,732,704,336
Segmental Liabilities	474,271,932	3,561,559,891	-	-	14,425,099,076	2,601,145,321	14,899,371,008	6,162,705,212